

Fiscal Architecture

How the Budget Is Built - §12.2

ORIGIN

Assembly Originates

The annual budget begins in the Assembly - not with either executive. Origination and passage sit with the chamber closest to the people.

/

INPUT

Two Domain Proposals

Each Consul submits a proposal for their own domain (civic / defense), published to the NRS. The Assembly gives due consideration - not bound. A Consul's silence can't stall the process.

/

DISCIPLINE

Balance or Justify

Pass a balanced budget or publish a structural-deficit justification, reviewed by the MA for accuracy. Deficits above the MA threshold need a published plan back to balance.

/

CHECK

Executive Review

The enacted budget is legislation - the CC's fiscal notice applies; the suspensive veto does not (as with all required legislation). The MA certifies the arithmetic.

Where Money Lives - §12.1.a, §12.3

The Monetary Authority

The MA is a constitutional institution independent of both executives and the Legislature. Principal decision-makers come through an independent candidate process and 2/3 Senate confirmation, with staggered terms and cause-only removal. No single actor may appoint or remove a majority. Vacancies do not suspend its functions (§12.1.a).

National Revenue Fund

Only the Legislature may impose federal taxes, duties, and tariffs. States, Territories, and local governments retain taxation within their jurisdictions. Republic receipts enter the National Revenue Fund and leave only by appropriation. Non-discrimination applies and the EM audits annually (§12.3).

When the Budget Fails, and the Backstop - §12.2, §12.4, §12.6

Budget-Failure Failsafe §12.2

Interim appropriation· Prior-year level· Legislators' pay withheld

No budget by deadline? An interim appropriation kicks in automatically - courts, active defense authorizations, social-state continuity, civil-service pay, and debt service continue at the prior year's inflation-adjusted level. No new programs may start under it. And if discretionary spending is suspended, every legislator's pay is withheld from the same day government workers' pay is - released only when a budget passes. No shutdown brinkmanship without personal cost.

The Social-State Backstop §12.4 · §12.6

The MA manages the National Endowment as a social-state reserve (§12.4). Certification of Severe Revenue Contraction activates disbursements; beyond 12 months, statutory authorization must be renewed at intervals no longer than 12 months. Non-renewal or MA certification that contraction has ended stops disbursements and lapses associated adequacy reductions. Surplus-year funding is mandatory (§12.2). Equalization is in §12.6; the Legislature responds to an EM failure finding within 90 days.

Numbers Worth Remembering

120

days before the fiscal year - default deadline for Consul domain proposals (§12.2).

3

mandatory social-state systems: healthcare, social assistance, free education (§12.1).

1

currency issuer - the MA alone. No State-issued legal tender anywhere in the Republic.

90

days for the Legislature to respond after an EM finding that equalization has failed (§12.6).